

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Condensed Consolidated Statements of Earnings
(Unaudited)

	For the three months ended		
	April 30, 2025	January 31, 2025	April 30, 2024
	In millions, except per share amounts		
Net revenue	\$ 7,627	\$ 7,854	\$ 7,204
Costs and Expenses:			
Cost of sales (exclusive of amortization shown separately below)	5,458	5,559	4,828
Research and development	540	475	590
Selling, general and administrative	1,298	1,268	1,215
Amortization of intangible assets	37	38	67
Impairment of goodwill	1,361	—	—
Transformation (credit) costs	(13)	15	33
Acquisition, disposition and other charges	55	66	46
Total costs and expenses	8,736	7,421	6,779
(Loss) earnings from operations	(1,109)	433	425
Interest and other, net ⁽¹⁾	39	39	(22)
Gain on sale of a business	—	244	—
Earnings (loss) from equity interests	25	17	42
(Loss) earnings before provision for taxes	(1,045)	733	445
Provision for taxes	(5)	(106)	(131)
Net (loss) earnings attributable to HPE	(1,050)	627	314
Preferred stock dividends	(29)	(29)	—
Net (loss) earnings attributable to common stockholders	\$ (1,079)	\$ 598	\$ 314
Net (Loss) Earnings Per Share Attributable to Common Stockholders:			
Basic	\$ (0.82)	\$ 0.45	\$ 0.24
Diluted	(0.82)	0.44	0.24
Cash dividends declared per share	0.13	0.13	0.13
Cash dividends accrued per preferred share	\$ 0.95	\$ 0.95	\$ —
Weighted-average Shares Used to Compute Net (Loss) Earnings Per Share:			
Basic	1,322	1,316	1,311
Diluted	1,322	1,409	1,325

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
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(Unaudited)

	For the six months ended	
	April 30, 2025	April 30, 2024
	In millions, except per share amounts	
Net revenue	\$ 15,481	\$ 13,959
Costs and Expenses:		
Cost of sales (exclusive of amortization shown separately below)	11,017	9,126
Research and development	1,015	1,172
Selling, general and administrative	2,566	2,431
Amortization of intangible assets	75	138
Impairment of goodwill	1,361	—
Acquisition, disposition and other charges	121	89
Total costs and expenses	16,157	13,009
(Loss) earnings from operations	(676)	950
Interest and other, net ⁽¹⁾	78	(110)
Gain on sale of a business	244	—
Earnings from equity interests	42	88
Loss (earnings) before provision for taxes	(312)	928
Provision for taxes	(111)	(227)
Net (loss) earnings attributable to HPE	(423)	701
Preferred stock dividends	(58)	—
Net (loss) earnings attributable to common stockholders	\$ (481)	\$ 701
Net (Loss) Earnings Per Share Per Share Attributable to Common Stockholders:		
Basic	\$ (0.36)	\$ 0.54
Diluted	(0.36)	0.53
Cash dividends declared per share	0.26	0.26
Cash dividends accrued per preferred share	\$ 1.91	\$ —
Weighted-average Shares Used to Compute Net (Loss) Earnings Per Share:		
Basic	1,319	1,306
Diluted	1,319	1,320

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Reconciliation of GAAP to Non-GAAP measures
(Unaudited)

	For the three months ended		
	April 30, 2025	January 31, 2025	April 30, 2024
	Dollars in millions		
GAAP net revenue	\$ 7,627	\$ 7,854	\$ 7,204
GAAP cost of sales	5,458	5,559	4,828
GAAP gross profit	2,169	2,295	2,376
Non-GAAP Adjustments			
Stock-based compensation expense	13	17	14
Acquisition, disposition and other charges	—	(3)	(7)
Cost reduction program	46	—	—
H3C divestiture related severance costs	16	1	—
Non-GAAP gross profit	\$ 2,244	\$ 2,310	\$ 2,383
 GAAP gross profit margin	 28.4 %	 29.2 %	 33.0 %
Non-GAAP adjustments	1.0 %	0.2 %	0.1 %
Non-GAAP gross profit margin	29.4 %	29.4 %	33.1 %

	For the six months ended	
	April 30, 2025	April 30, 2024
	Dollars in millions	
GAAP net revenue	\$ 15,481	\$ 13,959
GAAP cost of sales	11,017	9,126
GAAP gross profit	4,464	4,833
Non-GAAP Adjustments		
Stock-based compensation expense	30	30
Acquisition, disposition and other charges	(3)	(32)
Cost reduction program	46	—
H3C divestiture related severance costs	17	—
Non-GAAP gross profit	\$ 4,554	\$ 4,831
 GAAP gross profit margin	 28.8 %	 34.6 %
Non-GAAP adjustments	0.6 %	— %
Non-GAAP gross profit margin	29.4 %	34.6 %

	For the three months ended		
	April 30, 2025	January 31, 2025	April 30, 2024
	Dollars in millions		
GAAP (loss) earnings from operations	\$ (1,109)	\$ 433	\$ 425
Non-GAAP Adjustments			
Amortization of intangible assets	37	38	67
Impairment of goodwill	1,361	—	—
Transformation (credit) costs	(13)	15	33
Stock-based compensation expense	116	154	120
H3C divestiture related severance costs	20	77	—
Cost reduction program	146	—	—
Acquisition, disposition and other charges	55	63	39
Non-GAAP earnings from operations	<u>\$ 613</u>	<u>\$ 780</u>	<u>\$ 684</u>
GAAP operating profit margin	(14.5)%	5.5%	5.9 %
Non-GAAP adjustments	22.5 %	4.4 %	3.6 %
Non-GAAP operating profit margin	<u>8.0 %</u>	<u>9.9 %</u>	<u>9.5 %</u>

	For the six months ended	
	April 30, 2025	April 30, 2024
	Dollars in millions	
GAAP (loss) earnings from operations	\$ (676)	\$ 950
Non-GAAP Adjustments		
Amortization of intangible assets	75	138
Impairment of goodwill	1,361	—
Transformation costs	2	53
Stock-based compensation expense	270	261
H3C divestiture related severance costs	97	—
Cost reduction program	146	—
Acquisition, disposition and other charges	118	57
Non-GAAP earnings from operations	<u>\$ 1,393</u>	<u>\$ 1,459</u>
GAAP operating profit margin	(4.4)%	6.8 %
Non-GAAP adjustments	13.4 %	3.7 %
Non-GAAP operating profit margin	<u>9.0 %</u>	<u>10.5 %</u>

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Reconciliation of GAAP to Non-GAAP measures
(Unaudited)

	For the three months ended					
	April 30, 2025	Diluted Net EPS	January 31, 2025	Diluted Net EPS	April 30, 2024	Diluted Net EPS
	Dollars in millions, except per share amounts					
GAAP net (loss) earnings attributable to HPE	\$ (1,050)	\$ (0.82)	\$ 627	\$ 0.44	\$ 314	\$ 0.24
Non-GAAP Adjustments:						
Amortization of intangible assets	37	0.03	38	0.03	67	0.05
Impairment of goodwill	1,361	1.03	—	—	—	—
Transformation (credit) costs	(13)	(0.01)	15	0.01	33	0.03
Stock-based compensation expense	116	0.09	154	0.11	120	0.09
Gain on sale of a business	—	—	(244)	(0.17)	—	—
H3C divestiture related severance costs	20	0.02	77	0.05	—	—
Cost reduction program	146	0.11	—	—	—	—
Acquisition, disposition and other charges	55	0.04	63	0.04	39	0.03
Adjustments for equity interests	—	—	—	—	(42)	(0.03)
(Gain) loss on equity investments, net	(7)	(0.01)	(2)	—	—	—
Adjustments for taxes	(91)	(0.08)	(15)	—	31	0.02
Other adjustments ⁽²⁾	(29)	(0.02)	(29)	(0.02)	(1)	(0.01)
Non-GAAP net earnings attributable to HPE⁽³⁾	545	\$ 0.38	684	\$ 0.49	561	\$ 0.42
Preferred stock dividends	(29)		(29)		—	
Non-GAAP net earnings attributable to common stockholders	\$ 516		\$ 655		\$ 561	

For the six months ended				
	April 30, 2025	Diluted Net EPS	April 30, 2024	Diluted Net EPS
Dollars in millions, except per share amounts				
GAAP net (loss) earnings attributable to HPE	\$ (423)	\$ (0.36)	\$ 701	\$ 0.53
Non-GAAP Adjustments:				
Amortization of intangible assets	75	0.06	138	0.10
Impairment of goodwill	1,361	1.03	—	—
Transformation costs	2	—	53	0.04
Stock-based compensation expense	270	0.20	261	0.20
Gain on sale of a business	(244)	(0.18)	—	—
H3C divestiture related severance costs	97	0.07	—	—
Cost reduction program	146	0.11	—	—
Acquisition, disposition and other related charges	118	0.08	57	0.05
Adjustments for equity interests	—	—	(88)	(0.07)
(Gain) loss on equity investments, net	(9)	(0.01)	61	0.05
Adjustments for taxes	(106)	(0.09)	15	0.01
Other adjustments ⁽²⁾	(58)	(0.04)	1	—
Non-GAAP net earnings attributable to HPE⁽³⁾	1,229	0.87	1,199	0.91
Preferred stock dividends	(58)		—	
Non-GAAP net earnings attributable to common stockholders	\$ 1,171		\$ 1,199	

For the three months ended			
	April 30, 2025	January 31, 2025	April 30, 2024
In millions			
Net cash (used in) provided by operating activities	\$ (461)	\$ (390)	\$ 1,093
Investment in property, plant and equipment and software assets	(547)	(528)	(560)
Proceeds from sale of property, plant and equipment	80	84	122
Effect of exchange rate changes on cash, cash equivalents, and restricted cash	81	(43)	(45)
Free cash flow	\$ (847)	\$ (877)	\$ 610

For the six months ended		
	April 30, 2025	April 30, 2024
In millions		
Net cash (used in) provided by operating activities	\$ (851)	\$ 1,157
Investment in property, plant and equipment and software assets	(1,075)	(1,216)
Proceeds from sale of property, plant and equipment	164	218
Effect of exchange rate changes on cash, cash equivalents, and restricted cash	38	(31)
Free cash flow	\$ (1,724)	\$ 128

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Condensed Consolidated Balance Sheets

As of

April 30, 2025 (Unaudited)	October 31, 2024 (Audited)
In millions, except par value	

ASSETS

Current Assets:			
Cash and cash equivalents	\$	11,667	\$ 14,846
Accounts receivable, net of allowances		3,899	3,550
Financing receivables, net of allowances		3,907	3,870
Inventory		8,096	7,810
Assets held for sale		—	1
Other current assets		4,002	3,380
Total current assets		31,571	33,457
Property, plant and equipment, net		5,407	5,664
Long-term financing receivables and other assets		12,674	12,616
Investments in equity interests		965	929
Goodwill and intangible assets		17,237	18,596
Total assets	\$	67,854	\$ 71,262

LIABILITIES AND STOCKHOLDERS' EQUITY

Current Liabilities:			
Notes payable and short-term borrowings	\$	5,152	\$ 4,742
Accounts payable		9,316	11,064
Employee compensation and benefits		1,055	1,356
Taxes on earnings		277	284
Deferred revenue		4,172	3,904
Accrued restructuring		39	61
Liabilities held for sale		—	32
Other accrued liabilities		4,527	4,530
Total current liabilities		24,538	25,973
Long-term debt		12,378	13,504
Other non-current liabilities		7,011	6,905
Commitments and Contingencies			
Stockholders' Equity			
HPE stockholders' Equity:			
7.625% Series C mandatory convertible preferred stock, \$0.01 par value (30 shares issued and outstanding as of April 30, 2025 and October 31, 2024, respectively)		—	—
Common stock, \$0.01 par value (9,600 shares authorized; 1,311 and 1,297 shares issued and outstanding as of April 30, 2025 and October 31, 2024, respectively)		13	13
Additional paid-in capital		29,840	29,848
Accumulated deficit		(2,892)	(2,068)
Accumulated other comprehensive loss		(3,094)	(2,977)
Total HPE stockholders' equity		23,867	24,816
Non-controlling interests		60	64
Total stockholders' equity		23,927	24,880
Total liabilities and stockholders' equity	\$	67,854	\$ 71,262

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Condensed Consolidated Statements of Cash Flows
(Unaudited)

	For the six months ended	
	April 30, 2025	April 30, 2024
	In millions	
Cash Flows from Operating Activities:		
Net (loss) earnings attributable to HPE	\$ (423)	\$ 701
Adjustments to Reconcile Net Earnings Attributable to HPE to Net Cash (Used in) Provided by Operating Activities:		
Depreciation and amortization	1,173	1,299
Impairment of goodwill	1,361	—
Stock-based compensation expense	270	261
Provision for inventory and credit losses	190	113
Restructuring (credit) charges	(13)	18
Cost reduction program	146	—
Deferred taxes on earnings	(43)	—
Earnings from equity interests	(42)	(88)
Gain on sale of a business	(244)	—
H3C divestiture related severance costs	97	—
Other, net	41	128
Changes in Operating Assets and Liabilities, Net of Acquisitions:		
Accounts receivable	(372)	(376)
Financing receivables	25	(327)
Inventory	(435)	(2,808)
Accounts payable	(1,698)	3,026
Taxes on earnings	(36)	95
Restructuring	(32)	(121)
Other assets and liabilities	(816)	(764)
Net cash (used in) provided by operating activities	(851)	1,157
Cash Flows from Investing Activities:		
Investment in property, plant and equipment and software assets	(1,075)	(1,216)
Proceeds from sale of property, plant and equipment	164	218
Purchases of investments	(1)	(16)
Proceeds from maturities and sales of investments	41	5
Financial collateral posted	(638)	(499)
Financial collateral received	287	401
Proceeds from divestiture	210	—
Net cash used in investing activities	(1,012)	(1,107)
Cash Flows from Financing Activities:		
Short-term borrowings with original maturities less than 90 days, net	(11)	(45)
Proceeds from debt, net of issuance costs	257	1,075
Payment of debt	(1,061)	(2,218)
Net payments related to stock-based award activities	(171)	(94)
Repurchases of common stock	(102)	(48)
Cash dividends paid to non-controlling interests, net of contributions	(8)	(8)
Cash dividends paid to preferred stockholders	(54)	—
Cash dividends paid to common stockholders	(342)	(338)
Net cash (used in) provided by financing activities	(1,492)	(1,676)
Effect of exchange rate changes on cash, cash equivalents, and restricted cash	38	(31)

Change in cash, cash equivalents and restricted cash	(3,317)	(1,657)
Cash, cash equivalents and restricted cash at beginning of period	15,105	4,581
Cash, cash equivalents and restricted cash at end of period	<u>\$ 11,788</u>	<u>\$ 2,924</u>

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Segment Information
(Unaudited)

	For the three months ended		
	April 30, 2025	January 31, 2025	April 30, 2024
	In millions		
Net Revenue:			
Server ⁽⁴⁾	\$ 4,058	\$ 4,290	\$ 3,841
Hybrid Cloud ⁽⁴⁾	1,453	1,405	1,282
Intelligent Edge	1,162	1,146	1,086
Financial Services	856	873	867
Corporate Investments and other	194	197	252
Total segment net revenue	7,723	7,911	7,328
Elimination of intersegment net revenue	(96)	(57)	(124)
Total consolidated net revenue	\$ 7,627	\$ 7,854	\$ 7,204
Earnings Before Taxes:			
Server ⁽⁴⁾	\$ 241	\$ 348	\$ 423
Hybrid Cloud ⁽⁴⁾	78	99	13
Intelligent Edge	274	314	237
Financial Services	89	82	81
Corporate Investments and other	(10)	(2)	(9)
Total segment earnings from operations	672	841	745
Unallocated corporate costs and eliminations	(59)	(61)	(61)
Stock-based compensation expense	(116)	(154)	(120)
Amortization of intangible assets	(37)	(38)	(67)
Impairment of goodwill	(1,361)	—	—
Transformation credit (costs)	13	(15)	(33)
Gain on sale of a business	—	244	—
H3C divestiture related severance costs	(20)	(77)	—
Cost reduction program	(146)	—	—
Acquisition, disposition and other charges	(55)	(63)	(39)
Interest and other, net ⁽¹⁾	39	39	(22)
Earnings (loss) from equity interests	25	17	42
Total pretax (loss) earnings	\$ (1,045)	\$ 733	\$ 445

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Segment Information
(Unaudited)

	For the six months ended	
	April 30, 2025	April 30, 2024
	In millions	
Net Revenue:		
Server ⁽⁴⁾	\$ 8,348	\$ 7,168
Hybrid Cloud ⁽⁴⁾	2,858	2,555
Intelligent Edge	2,308	2,287
Financial Services	1,729	1,740
Corporate Investments and other	391	490
Total segment net revenue	15,634	14,240
Elimination of intersegment net revenue	(153)	(281)
Total consolidated net revenue	<u>\$ 15,481</u>	<u>\$ 13,959</u>
Earnings Before Taxes:		
Server ⁽⁴⁾	\$ 589	\$ 802
Hybrid Cloud ⁽⁴⁾	177	64
Intelligent Edge	588	590
Financial Services	171	155
Corporate Investments and other	(12)	(19)
Total segment earnings from operations	1,513	1,592
Unallocated corporate costs and eliminations	(120)	(133)
Stock-based compensation expense	(270)	(261)
Amortization of intangible assets	(75)	(138)
Impairment of goodwill	(1,361)	—
Transformation costs	(2)	(53)
Gain on sale of a business	244	—
H3C divestiture related severance costs	(97)	—
Cost reduction program	(146)	—
Acquisition, disposition and other charges	(118)	(57)
Interest and other, net ⁽¹⁾	78	(110)
Earnings from equity interests	42	88
Total pretax (loss) earnings	<u>\$ (312)</u>	<u>\$ 928</u>

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Segment Information
(Unaudited)

	For the three months ended			Change (%)	
	April 30, 2025	January 31, 2025	April 30, 2024	Q/Q	Y/Y
Dollars in millions					
Net Revenue:					
Server ⁽⁴⁾	\$ 4,058	\$ 4,290	\$ 3,841	(5%)	6%
Hybrid Cloud ⁽⁴⁾	1,453	1,405	1,282	3	13
Intelligent Edge	1,162	1,146	1,086	1	7
Financial Services	856	873	867	(2)	(1)
Corporate Investments and other	194	197	252	(2)	(23)
Total segment net revenue	7,723	7,911	7,328	(2)	5
Elimination of intersegment net revenue	(96)	(57)	(124)	68	(23)
Total consolidated net revenue	<u>\$ 7,627</u>	<u>\$ 7,854</u>	<u>\$ 7,204</u>	(3%)	6%

	For the six months ended		
	April 30, 2025	April 30, 2024	Y/Y
Dollars in millions			
Net Revenue:			
Server ⁽⁴⁾	\$ 8,348	\$ 7,168	17%
Hybrid Cloud ⁽⁴⁾	2,858	2,555	12
Intelligent Edge	2,308	2,287	1
Financial Services	1,729	1,740	(1)
Corporate Investments and other	391	490	(20)
Total segment net revenue	15,634	14,240	10
Elimination of intersegment net revenue	(153)	(281)	(46)
Total consolidated net revenue	<u>\$ 15,481</u>	<u>\$ 13,959</u>	11%

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Segment Operating Margin Summary Data
(Unaudited)

	For the three months ended			Change in operating profit margin (pts)	
	April 30, 2025	January 31, 2025	April 30, 2024	Q/Q	Y/Y
Segment Operating Profit Margin:					
Server ⁽⁴⁾	5.9 %	8.1 %	11.0 %	(2.2)	(5.1)
Hybrid Cloud ⁽⁴⁾	5.4 %	7.0 %	1.0 %	(1.6)	4.4
Intelligent Edge	23.6 %	27.4 %	21.8 %	(3.8)	1.8
Financial Services	10.4 %	9.4 %	9.3 %	1.0	1.1
Corporate Investments and other	(5.2%)	(1.0%)	(3.6%)	(4.2)	(1.6)
Total segment operating profit margin	8.7 %	10.6 %	10.2 %	(1.9)	(1.5)

	For the six months ended		Change in operating profit margin (pts)
	April 30, 2025	April 30, 2024	Y/Y
Segment Operating Profit Margin:			
Server ⁽⁴⁾	7.1 %	11.2 %	(4.1)
Hybrid Cloud ⁽⁴⁾	6.2 %	2.5 %	3.7
Intelligent Edge	25.5 %	25.8 %	(0.3)
Financial Services	9.9%	8.9%	1.0
Corporate Investments and other	(3.1 %)	(3.9 %)	0.8
Total segment operating profit margin	9.7 %	11.2 %	(1.5)

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Calculation of Diluted Net Earnings Per Share
(Unaudited)

	For the three months ended		
	April 30, 2025	January 31, 2025	April 30, 2024
	In millions, except per share amounts		
Numerator:			
GAAP net (losses) earnings attributable to common stockholders - Basic	\$ (1,079)	\$ 598	\$ 314
Plus: 7.625% Series C mandatory convertible preferred stock dividends	—	29	—
GAAP net earnings attributable to HPE - Diluted	<u>\$ (1,079)</u>	<u>\$ 627</u>	<u>\$ 314</u>
Non-GAAP net earnings attributable to common stockholders - Basic	\$ 516	\$ 655	\$ 561
Plus: 7.625% Series C mandatory convertible preferred stock dividends	29	29	—
Non-GAAP net earnings attributable to HPE - Diluted	<u>\$ 545</u>	<u>\$ 684</u>	<u>\$ 561</u>
Denominator:			
GAAP Weighted-average shares used to compute basic net EPS	1,322	1,316	1,311
Dilutive effect of employee stock plans ⁽⁵⁾	—	17	14
Dilutive effect of 7.625% Series C mandatory convertible preferred stock ⁽⁵⁾	—	76	—
GAAP Weighted-average shares used to compute diluted net EPS	<u>1,322</u>	<u>1,409</u>	<u>1,325</u>
Non-GAAP Weighted-average shares used to compute basic net EPS	1,322	1,316	1,311
Dilutive effect of employee stock plans ⁽⁵⁾	10	17	14
Dilutive effect of 7.625% Series C mandatory convertible preferred stock ⁽⁵⁾	87	76	—
Non-GAAP Weighted-average shares used to compute diluted net EPS	<u>1,419</u>	<u>1,409</u>	<u>1,325</u>
GAAP Net (loss) Earnings Per Share			
Basic	\$ (0.82)	\$ 0.45	\$ 0.24
Diluted	\$ (0.82)	\$ 0.44	\$ 0.24
Non-GAAP Net EPS			
Basic	\$ 0.39	\$ 0.50	\$ 0.43
Diluted ⁽³⁾	\$ 0.38	\$ 0.49	\$ 0.42

	For the six months ended	
	April 30, 2025	April 30, 2024
	In millions, except per share amounts	
Numerator:		
GAAP net earnings attributable to common stockholders - Basic	\$ (481)	\$ 701
Plus: 7.625% Series C mandatory convertible preferred stock dividends	—	—
GAAP net earnings attributable to HPE - Diluted	<u>\$ (481)</u>	<u>\$ 701</u>
Non-GAAP net earnings attributable to common stockholders - Basic	\$ 1,171	\$ 1,199
Plus: 7.625% Series C mandatory convertible preferred stock dividends	58	—
Non-GAAP net earnings attributable to HPE - Diluted	<u>\$ 1,229</u>	<u>\$ 1,199</u>
Denominator:		
Weighted-average shares used to compute basic net EPS	1,319	1,306
Dilutive effect of employee stock plans ⁽⁵⁾	—	14
Dilutive effect of 7.625% Series C mandatory convertible preferred stock ⁽⁵⁾	—	—
Weighted-average shares used to compute diluted net EPS	<u>1,319</u>	<u>1,320</u>
Denominator(Non-GAAP):		
Weighted-average shares used to compute basic net EPS	1,319	1,306
Dilutive effect of employee stock plans ⁽⁵⁾	14	14
Dilutive effect of 7.625% Series C mandatory convertible preferred stock ⁽⁵⁾	76	—
Weighted-average shares used to compute diluted net EPS	<u>1,409</u>	<u>1,320</u>
GAAP Net EPS		
Basic	\$ (0.36)	\$ 0.54
Diluted	\$ (0.36)	\$ 0.53
Non-GAAP Net EPS		
Basic	\$ 0.89	\$ 0.92
Diluted ⁽³⁾	\$ 0.87	\$ 0.91

- (1) Interest and other, net includes tax indemnification and other adjustments, non-service net periodic benefit credit, and interest and other, net.
- (2) Other adjustments includes non-service net periodic benefit credit and tax indemnification and other adjustments.
- (3) For purposes of calculating diluted net EPS, the preferred stock dividends are added back to the net earnings attributable to common stockholders and the diluted weighted average share calculation assumes the preferred stock was converted at issuance or as of the beginning of the reporting period.
- (4) Effective at the beginning of the first quarter of fiscal 2025, in order to align its segment financial reporting more closely with its current business structure, HPE implemented an organizational change with the transfer of certain managed services, previously reported within the Server reportable segment, to the Hybrid Cloud reportable segment.
- (5) The impact of dilutive effect of employee stock plans is calculated under the treasury stock method, and the impact of dilutive effect of the preferred stock is calculated under the if-converted method. The effect of employee stock plans and preferred stock is excluded when calculating diluted net loss per share as it would be anti-dilutive.